

EG Daily Brief: China's coercion reach extends beyond critical minerals

送信者: EG Daily Brief 受信日時: 2026-07-17 20:48

[【メール原文】](#)

17 Jul 2026 07:45 EDT

Daily Brief: China's coercion reach extends beyond critical minerals

China's coercion tools | US-Brazil trade | Ukraine's Federov fallout | Upcoming conference calls | EG in depth

summary

- * Beijing's economic coercion toolkit is broadening beyond critical minerals, with a lower retaliation threshold, rising EU tensions, and the US-China truce holding.
- * If Brazilian President Luiz Inacio Lula da Silva wins reelection, the pathway to a deal to lower US tariffs will be difficult.
- * Ukrainian President Volodymyr Zelensky's dismissal of Defense Minister Mykhailo Fedorov has backfired, triggering protests and Western concern but not changing the country's war strategy.
- * A strong El Niño is intensifying, threatening drought, extreme heat, and disruptions to global agricultural and energy markets through the winter.
- * Regions, countries, and sectors covered in this edition include the US, Brazil, China, Ukraine, energy, climate and trade.

the top line

China—Beijing's growing economic coercion toolkit

- * China's coercive leverage extends well beyond critical minerals—its rising dominance in intermediate goods, batteries, industrial chemicals, and precision tools is building a broader and more durable toolkit.
- * Beijing's threshold for retaliation has lowered and it has created the legal foundation for wider applications of countermeasures. It will, however, continue to be reactive and proportionate in its retaliatory approach.
- * The US-China truce will hold until the end of the year, but China-EU tensions are rising and China-Japan relations will remain frozen.
- * Read more here . Reach out to discuss: china@eurasiagroup.net .

Brazil—No easy pathway to reduce US tariffs if Lula wins reelection

- * Brazil will initiate a trade reciprocity investigation following the US decision to implement a 25% tariff on Brazilian exports, though formal retaliation before the election is unlikely even as bilateral tensions are on course to deteriorate further during the campaign.
- * The tariffs are unlikely to be decisive for the election, but they do weaken Senator Flavio Bolsonaro's image as the public associates lobbying by the Bolsonaro family with punitive US measures against Brazil—which the Workers' Party (PT) campaign will argue are costing jobs at home.
- * If President Luiz Inacio Lula da Silva wins reelection, the pathway to a deal to lower tariffs will be difficult given the many exemptions granted and his unwillingness to grant major concessions, while a Bolsonaro win would strengthen alignment with Washington, including eliminating ethanol tariffs and concluding a critical minerals deal.
- * Read more here . Reach out to discuss: brazil@eurasiagroup.net .

Ukraine—Fedorov's ouster will cost Zelensky more than it solves

- * The dismissal of Defense Minister Mykhailo Fedorov as part of the government reshuffle on 16 July has turned into one of the most serious political scandals of President Volodymyr Zelensky's tenure.
- * The public and parliamentary backlash will erode Zelensky's domestic standing and deepen Western doubts about governance.
- * The dismissal is a setback for future defense reform, but Ukraine's drone-centered long-range strike strategy against Russia will continue.
- * Read more here . Reach out to discuss: europe@eurasiagroup.net .

Upcoming conference calls

- * 20 July 10:00 AM ET—Brazil update: a conversation with Daniella Marques, advisor for Flavio Bolsonaro. Register here .
- * 21 July 9:00 PM ET—Claude Mythos: cyber power, competition & global risk. Register here .
- * 23 July 10:00 AM ET—Latin America update. Register here .

eg in depth

Climate—'Super' El Niño poses growing risks to global commodity market: A strong El Niño is intensifying in the tropical Pacific and expected to peak into the Northern Hemisphere winter, raising risks of heat waves, drought, and heavy rainfall worldwide—prompting agencies to step up early warning support for governments, agriculture, and health sectors. Record Pacific sea temperatures underpin the pattern, with tropical heat likely to peak in December 2026–February 2027. Drought risk looms over the Indian subcontinent, Southeast Asia, Australia, and parts of Latin America, with durum wheat prices especially exposed. Energy markets face Panama Canal shipping risks, threatening US oil

and LNG flows to Asia. Europe likely sees a hot summer, then a milder, wetter winter—easing regional heating demand. Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Upcoming events:

- * 17 July: Data: US UMich consumer sentiment, Industrial Production.
- * 18 July: Events: The Fed's external communications blackout begins ahead of its July 28-29 rate-setting meeting.
- * 20 July: Events: Andy Burnham set to be sworn in as UK prime minister.
- * 21 July: Events: ASEAN foreign ministers' meeting, through July 24; Central bank decisions: Hungary and Nigeria.
- * 22 July: Events: Alphabet and Tesla earnings; Data: Japan trade and Russia industrial production; Central bank decision: Indonesia.
- * 23 July: Events: Intel earnings; Data: Eurozone consumer confidence, South Korea GDP, and Taiwan industrial production; Central bank decisions: ECB, South Africa, and Turkey.
- * 24 July: Events: The temporary 10% US global tariff is set to expire; Data: Eurozone, Japan, UK, and US S&P and India HSBC manufacturing PMI; Central bank decision: Russia.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Joseph Craven, Martina Silva, and Trista Kelley, with help from Marina Tavares, and Astral Betteridge.

closing quip

Instead of figuring out how to defeat Russia, which is the commander-in-chief's job, he figured out how to divide the country."—Mykhailo Fedorov, ousted Ukrainian defense minister, on Commander-in-Chief Oleksandr Syrskyi at his 16 July press conference.

PDF or Print | Get the EG iOS or Android mobile Apps for content on the go

Explanation of Political Trajectories (ie, "Trajectories")

Eurasia Group's (EG) Political Trajectories are indicators of the net impact of political factors on the macro business environment in a country over specific timeframes. For each country, two Trajectories are provided, a short-term (6 months) and a long term assessment (24 months). Trajectories are assigned by Eurasia Group's country analysts through a structured qualitative process. Each Trajectory represents a net assessment, indicating how political changes in a country impact the macro business environment, defined as the economic and investment climate in the country. Once initiated, Trajectories are updated both periodically and as events warrant. Trajectories may be suspended from time to time if there is no active analyst opinion or analyst coverage, but the opinion or coverage is expected to resume. Trajectories can be:

Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

Disclaimers: Trajectories are solely for informational purposes and should not be relied upon as investment advice. Trajectories do not indicate asset price movements, and have no value in forecasting market prices. Trajectories are based on data and analysis we deem to be reliable; they are not guaranteed as to accuracy or completeness. The Trajectories indicate the political outlook in a single country, over time. Trajectories do not address sector-specific or city/regional political risks that are often different than the country-level outlook. Trajectories represent an analyst's net qualitative assessment of a country's political outlook. EG sales, analytic staff and products may provide analysis reflecting different opinions than those expressed by the Trajectories.

© 2026 Eurasia Group. All rights reserved. This material was produced by Eurasia Group for use by the recipient. This is intended as general background research and is not intended to constitute advice on any particular commercial investment or trade matter or issue and should not be relied upon for such purposes. It is not to be made available to any person other than the recipient. No part of this publication may be reproduced, stored in a retrieval system, or transmitted in any form or by any means, electronic or otherwise, without the prior consent of Eurasia Group.

X-WF-DocID wfpub_eurasia_26876_450412ed

[To manage your email preferences click here](#) | [To manage your research content alerts click here](#)